The building of railways in India, undoubtedly desirable and necessary, was done in an enormously wasteful way. The Govern-

ment of India guaranteed 5 per cent interest on all capital invested and there was no need to check or estimate what was necessary. All purchases were made in England.

The civil establishment of government was also run on a lavish and extravagant scale, all the highly paid positions being reserved for Europeans. The process of Indianization of the administrative machine was very slow and only became noticeable in the twentieth century. This process, far from transferring any power to Indian hands, proved yet another method of strengthening British rule. The really key positions remained in British hands, and Indians in the administration could only function as the agents of British rule.

To all these methods must be added the deliberate policy, pursued throughout the period of British rule, or creating divisions among Indians, of encouraging one group at the cost of another. This policy was openly admitted in the early days of their rule, and indeed it was a natural one for an imperial power.